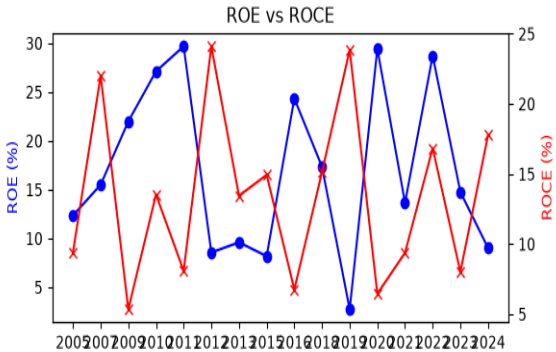
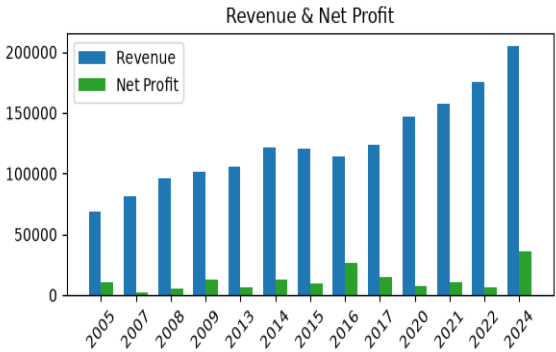
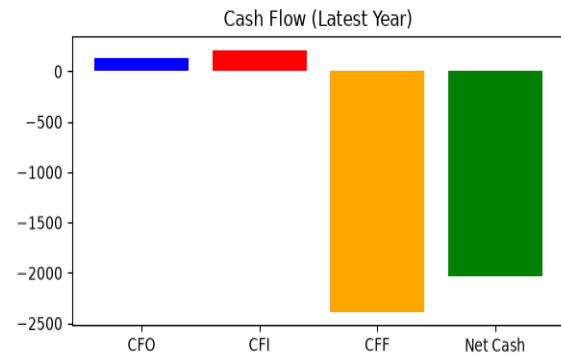
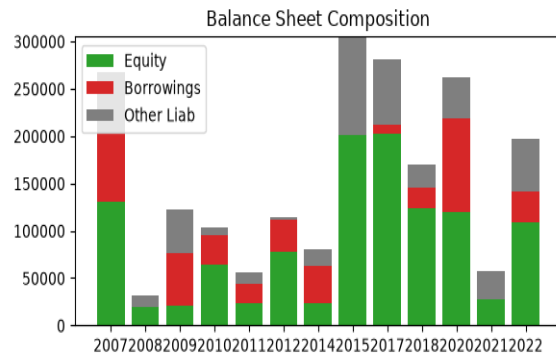


Tata Elxsi Ltd (TATAELXSI)

Revenue	Rs. 204845.3 Cr	Net Profit	Rs. 35423.8 Cr	OPM	30.1%
ROE	9.0%	ROCE	17.8%	D/E	2.49





Capital Allocation Pattern: Distress Signal

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons:

- Debt-to-equity ratio of 2.5 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable